

Coalition's course fee shake-up fails to change students' choice

By **TIM DODD**, HIGHER EDUCATION EDITOR
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The first detailed study of the sweeping changes made to university fees by the Morrison government shows that the new fee structure is failing to achieve its stated goal of directing students into courses where there are more jobs.

In a new paper, University of Melbourne honours student Maxwell Yong shows that in the first two years of the new fee system – 2021 and 2022 – students barely responded to the price signals in the fee restructure.

The changes, part of the Morrison government's Job-Ready Graduates package, saw fees for some courses more than double and others fall to less than half.

For example, fees for humanities were announced to rise by 113 per cent, and fees for law, economics, management and commerce courses rise by 28 per cent. Fees for maths and agriculture courses were announced to fall by 62 per cent, and fees for teaching, nursing, English and language courses fall by 46 per cent. Using data from the Universities Admission Centre – which enrolls students into universities in NSW and the ACT – Mr Yong studied the preferences, and subsequent enrolments, of hundreds of thousands of students from 2014 to 2022.

He found that the changes to course prices (fees), which started in 2021, made very little difference to the level of demand for different courses as expressed through student first preferences.

Analysis showed that a price increase of 1 per cent would lead to a fall in demand of only 0.0395 per cent, Mr Yong told a seminar at the Centre for the Study of Higher Education at the University of Melbourne last week. And a price fall of 25.3 per cent would increase demand for a course by only 1 per cent, his findings show.

While demand for nursing courses rose, Mr Yong said that the growth was well under way before course fees for nursing were cut. And even though fees fell for maths and languages, demand for these courses was down.

Extrapolation of the results indicates that, if fees were removed and a course was made free, it would increase demand by only 3.95 per cent. Similarly, doubling fees would decrease demand by only 3.95 per cent.

Mr Yong's findings undermine the basis of the Morrison government's fee restructure which then education minister Dan Tehan intended as a "price signal to encourage people to study in areas of expected employment growth".

Mr Yong said his research had shown that "students don't really focus on price signals". He also said we were yet to see whether governments were able to forecast areas of job growth.

Analysts have long suspected that, because students repay university fees well into the future through the HECS income contingent loans system, they don't focus on the fee level when choosing a course, and Mr Yong's research confirms that. He said the research showed that price incentives were not an effective way to control university enrolments across different fields of study.

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